

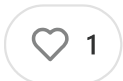
Modison: The ₹1700-Crore Small-Cap Sitting Beneath the AI Power Boom

Silver, tungsten, switchgear, data centres and India's power-capex cycle are converging — and the earnings inflection may have already begun.



SHUBHAM | BUSINESS DEEP DIVES

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Share

There are stocks where the story is obvious.

And then there are stocks where the **financial statements look strange until you understand the business.**

Modison Limited belongs to the second category.

At first glance, it looks like a small electrical-components company whose revenues are heavily influenced by silver and tungsten prices.

Look closer, and a different picture starts emerging:

1. **HV electrical contacts.**
2. **Railways.**
3. **Switchgear.**
4. **Data centres.**
5. **Import substitution.**
6. **Tungsten integration.**
7. **260 new products.**
8. **Global OEM relationships.**

9. Exports.

And a management team that says its ₹1,000 crore revenue ambition has moved forward from FY30 to FY28.

The really interesting part?

The company has already demonstrated that it can generate **mid-to-high teens operating margins**, while management is simultaneously targeting another leg of revenue growth.

That combination—**scale + mix + margin + integration**—is what makes Modison interesting.

But there is a catch.

The stock is no longer undiscovered.

So the question isn't simply *"Is Modison a good company?"*

The question is:

Has Modison's earning power structurally changed, and is the market correctly pricing that change?

That is the question worth investigating.

The company most investors probably don't know

Modison has been around for decades.

Its roots go back to silver refining and engineering, before it moved into electrical contacts and contact materials. The company's own history describes the progression from silver refining to LV contacts, then into HV contacts and increasingly sophisticated materials. [Modison's company history](#).

Today, the business spans **low-, medium- and high-voltage electrical contacts**, along with precious-metal compounds and related products. Modison says its products are exported to more than 20 countries. [Modison electrical contacts and products](#)

This isn't a business selling electricity.

It sits one or two layers below the switchgear manufacturers.

Think:

WHERE MODISON SITS IN THE POWER VALUE CHAIN



POWER GENERATION/ TRANSMISSION/ DISTRIBUTION

Electricity is generated, transmitted across high-voltage networks, and distributed to end users.



SWITCHGEAR

Switchgear controls, protects and isolates electrical equipment to ensure safe and reliable power flow.



ELECTRICAL CONTACTS

Electrical contacts are critical components inside switchgear that make or break electrical connections safely.



MODISON

Modison manufactures high-performance electrical contacts and contact materials that enable safe, efficient and reliable switching in electrical systems.



MODISON
— Powering Connections —

The contacts may look tiny compared with the equipment they sit inside.

But they are mission-critical.

A circuit breaker isn't particularly useful if the contact material doesn't perform reliably under high current, heat, arcing and repeated switching.

That's why this is not simply a metal-processing business.

There is engineering, material science, customer qualification and manufacturing capability embedded in the product.

The first misconception: “Modison is basically a silver company”

This is the easiest trap to fall into.

Silver is extremely important to Modison.

But **Modison is not a bet on silver.**

Its products include silver alloys, silver tungsten, silver graphite and silver tin oxide contacts, as well as copper-tungsten and copper-chromium products. [Modison Silver Tungsten products](#)

Silver is a raw material.

The value proposition is what Modison does **with** that raw material.

That distinction becomes crucial when analysing the company's financials.

Because when silver prices move sharply, Modison's reported revenue can move dramatically without the underlying economics of the manufacturing business changing by the same amount.

This is why looking at revenue alone can lead investors badly astray.

FY26 was the year the numbers suddenly changed

The headline FY26 numbers were extraordinary.

Revenue from operations went from approximately:

₹490 crore in FY25

to:

₹710 crore in FY26.

The company also reported approximately **₹123.6 crore of EBITDA/PBIDT before finance cost, depreciation, tax and exceptional items**, compared with only ₹48.5 cr the previous year.

But the quarterly progression is even more interesting.

MODISON FY26 PERFORMANCE – QUARTERLY SNAPSHOT

Strong momentum through the year with record Q4 performance

Quarter	Revenue (₹ Cr)	Approx. Operating Margin (EBIT Margin)	PAT (₹ Cr)
Q1 FY26	₹134 Cr	~6%	₹4.8 Cr
Q2 FY26	~₹145 Cr	~13%	~₹12 Cr
Q3 FY26	~₹144 Cr	~13%	~₹20 Cr
Q4 FY26	₹287 Cr	~25%	₹36 Cr
FY26	₹710 Cr	~16%	₹72.5 Cr

Note: Margins are approximate operating margin (EBIT margin). PAT: Profit After Tax.

The most obvious reaction is:

“Q4 was an aberration.”

That is a reasonable first reaction.

And initially, that was my concern too.

But the subsequent evidence makes the story considerably more interesting.

Remember June 2025?

This is where the Modison story gets really revealing.

In Q1 FY26, material costs were around 82% of revenue, and operating margins collapsed to roughly 6%.

Then:

Q2 → ~13%

Q3 → ~13%

Q4 → ~25%

Something was clearly happening.

Was Modison simply getting lucky with commodities?

Not quite.

The AGM/concall explanation for Q4 included:

- tungsten price negotiations,
- customer price updates,
- strong ordering,
- excellent delivery execution,
- product-mix improvement,
- and productivity/cost-out initiatives.

In other words, Q4 was not merely:

“silver went up.”

It was a combination of **pricing + mix + execution + operating leverage + commodity effects.**

That distinction matters enormously.

The Q1 FY27 test has already happened

And this is where the thesis gets interesting.

If Q4's margin was purely a one-off, Q1 FY27 should have exposed it.

It didn't.

Q1 FY27 revenue: **₹270.47 crore**

Q4 FY26: **₹287.32 crore**

That's only about a **6% sequential decline**.

Now look at PAT.

Q1 FY27: **₹33.84 crore**

Q4 FY26: **₹36.00 crore**

Again, only about a **6% sequential decline**.

And the Q1 FY27 EBITDA/operating margin was around **18–19%**, depending on the exact EBITDA definition used.

Revenue more than doubled YoY, and PAT rose more than six-fold. The company's own filing reports ₹270.47 crore of operating revenue and ₹33.84 crore of net profit Q1 FY27.

That is perhaps the single most important piece of evidence in the entire Modison thesis.

Q4 wasn't simply a one-quarter accounting mirage.

Something structural appears to have changed.

But Q1 contained a giant clue

There is a number in the Q1 P&L that deserves much more attention than PAT.

Change in inventory: approximately ₹41.7 crore

In simple terms, Modison produced substantially more than it sold during the quarter.

That doesn't mean the profit is fake.

It means part of the manufacturing cost has been capitalised into inventory and will hit the P&L when those goods are sold.

This creates a fascinating setup.

If that inventory is connected to a strong order book, Q1 may have been **building tomorrow's revenue**.

If it isn't, then we have a working-capital problem.

This is why Q2 and Q3 aren't just earnings events for Modison.

They are **inventory-conversion tests**.

The inventory question

At March 31, 2026, Modison had approximately **₹220 crore of inventory**.

That sounds terrifying until you look underneath it.

The audited report shows raw material at only about ₹15 crore, while work-in-progress represented the overwhelming majority of the inventory balance.

More importantly, the auditors specifically identified inventory valuation as a **Key Audit Matter** because inventory represented about 43.7% of total assets. Raw material is valued at the lower of cost and net realisable value using weighted-average cost, while finished goods and WIP incorporate raw-material cost.

That changes the interpretation.

This isn't simply:

“Modison has ₹220 crore sitting in silver bars.”

A huge portion is already **inside the manufacturing process**.

That matters because a finished or semi-finished contact is not economically equivalent to a pile of silver.

And then there is the silver problem

Silver has been exceptionally volatile.

That creates an optical problem for Modison.

When silver rises:

1. **selling price rises**
2. **reported revenue rises**
3. **inventory values rise**
4. **working capital rises.**

When silver falls:

the opposite can happen.

But if customer contracts allow the silver component to be passed through, the underlying conversion margin can remain relatively stable.

Management has repeatedly described customer arrangements that allow silver-related price movements to be passed through, while the annual report identifies silver and tungsten as the key commodity risks and describes hedging, inventory management and customer price adjustments as mitigation tools.

So the right question isn't:

“Where is silver going?”

It is:

“How much value does Modison add after the metal cost is passed through?”

That's the more important number.

Tungsten is the less obvious piece of the puzzle

If silver gets most of the attention, tungsten deserves the second look.

Tungsten is critical for Modison's HV products, including copper-tungsten applications.

These materials combine the electrical/thermal characteristics of copper or silver with tungsten's high melting point, strength and resistance to erosion. Modison's own

product literature describes silver-tungsten and copper-tungsten applications across circuit-breaker and switching applications. [Modison Silver Tungsten applications](#)
[Modison Copper-Tungsten products](#)

And tungsten prices have experienced an extraordinary move.

That creates both risk and opportunity.

If Modison buys tungsten at ₹X and customer prices are fixed, a sudden tungsten increase can crush margins.

But if the customer contract allows a price revision:

tungsten ↑ → customer price ↑ → Modison protects conversion margin

And if there is timing between procurement and customer repricing, inventory economics can temporarily become favourable or unfavourable.

This is one reason Q4 FY26 deserves to be studied carefully.

Management explicitly linked Q4's strong performance to tungsten-price negotiations and customer price updates.

So tungsten isn't simply a commodity exposure.

It is also part of Modison's pricing-power test.

The bigger shift: Modison is becoming an HV company

This is probably the most important strategic development.

Management has indicated that approximately **80% of revenue now comes from HV contacts**, with LV contributing roughly 20%.

If accurate, that represents a major change in how investors should think about the business.

HV products are more specialised.

Customer qualification is harder.

The engineering requirements are higher.

And the value addition can be considerably better.

Management has indicated that its HV silver-contact business can generate **18–20% EBITDA margins**.

That's a crucial number.

Because if an increasingly large portion of revenue comes from a business capable of generating high-teens margins, the consolidated company's margin ceiling changes.

This provides a potential explanation for why Modison's overall margins have moved so sharply higher.

The market is growing. Modison is growing faster.

Management's AGM presentation highlighted a striking contrast.

For LV switchgear, management cited industry growth of roughly 5.1%, versus approximately **51% growth for Modison's LV business**.

For HV switchgear, management cited industry growth of approximately 6.2%, versus approximately 18% growth for Modison's HV business.

These aren't numbers I'd extrapolate indefinitely.

But they tell us something important:

Modison isn't merely riding the industry cycle.

It appears to be gaining share and/or winning new applications.

And that's much more valuable than simply benefiting from a rising commodity price.

The 260-product clue

Another disclosure from the AGM/concall deserves more attention than it received.

Management said Modison developed approximately:

260 new products in FY26.

Again, not all 260 products will become large businesses.

But product-development velocity matters.

Especially when the company sells to technically demanding OEMs.

A new product can mean:

qualification → customer approval → production → repeat orders → higher customer wallet share

That creates something approaching an approval moat.

The company itself highlights relationships with major global OEMs, and its history includes long-standing technology collaboration and development in electrical-contact materials. [Modison leadership and technology history](#).

One particularly interesting product-development story

Management discussed an alloy that had historically been sourced from Russia.

Modison spent roughly **8–10 months developing the material**, eventually becoming successful supplier and completing the relevant technology-transfer documentation.

This is important for a reason that goes beyond one product.

It demonstrates that Modison can potentially move from:

“supplier of manufactured contacts”

toward:

“technology partner solving difficult material problems.”

That is a much higher-quality business model.

Railway could become another leg

The company has received RDSO approval for new HV silver contacts intended for railway relay applications, according to management's AGM interaction.

The significance isn't the approval alone.

Railway applications tend to involve qualification and reliability requirements.

If approval turns into meaningful recurring orders, Modison gets:

- another end-market,
- higher customer stickiness,
- domestic import-substitution potential,
- and incremental HV volume.

This is something investors should monitor through actual order wins rather than treating the approval itself as revenue.

Then there is the AI story

No, Modison is not an AI company.

And that's precisely why this opportunity can be misunderstood.

The chain is:

THE AI POWER CHAIN:

From Intelligence to the Smallest Critical Component





Management itself linked data-centre expansion to increased switchgear demand.

And this isn't merely theoretical. India's investment cycle is broadening, with recent data showing stronger private investment and manufacturing activity; major technology companies are also committing substantial capital to Indian data-centre infrastructure.

The point isn't that AI will suddenly double Modison's revenue.

The point is that **electrical infrastructure is becoming a bottleneck of the AI economy**, and Modison sits somewhere inside that infrastructure chain.

Forward and backward integration could change the economics

This may be the most underappreciated part of the story.

Management has discussed plans for:

Backward integration

Tungsten powder manufacturing

and

Forward integration

Switchgear components

Why does this matter?

Today:

Raw material

↓

contact material

↓

electrical contact

↓

customer

Tomorrow, potentially:

Tungsten powder

↓

contact material

↓

electrical contact

↓

switchgear component

The company captures more of the value chain.

That can mean:

- better supply security,
- better control over quality,
- lower dependence on external suppliers,
- potentially better margins,
- and greater customer relevance.

But investors should remember:

Capex does not equal returns.

The projects need to generate acceptable ROCE.

The export story

FY26 exports were around **₹90 crore**, with management targeting approximately **₹1 crore+**.

More importantly, management has identified roughly **20–25 large global customers** as targets.

Existing relationships with companies such as GE, Siemens and ABB could potentially provide entry into additional programs.

This matters because export growth can diversify Modison's customer and geographic base.

It also makes the company's long-term revenue ambition less dependent on domestic switchgear spending.

The management target that caught my attention

There are actually two different revenue narratives.

The more formal FY27 roadmap points toward roughly:

₹880 crore revenue in FY27.

But management has also discussed a much more ambitious:

₹1,365+ crore revenue target by FY30.

That is a very different proposition.

From ₹710 crore in FY26 to ₹1365 crore in FY30 would require roughly 17.7% CAGR.

That's aggressive.

I would **not** value Modison today as if ₹1365 crore is guaranteed.

But I would take the target seriously as an indication of management's ambition and the amount of capacity/customer/product opportunity it believes exists.

The company has also revised its earlier long-term ambition of reaching ₹1,000 crore by 2030, saying that level could be achieved earlier by FY28, while putting a roughly ₹1,365 crore 2030 target into its formal roadmap.

That tells us management believes the opportunity set has expanded materially.

So where does the FY27 profit land?

This is where all the pieces come together.

FY26 PAT was roughly:

₹72.5 crore

Management wants to maintain at least roughly **10–12% profitability**, according to AGM discussion.

And FY26 revenue was approximately:

₹710 crore.

That means FY26 PAT margin was around:

10.2%

Interestingly, management's 10–12% comment therefore sits almost exactly on the FY26 realised economics.

Now take the FY27 revenue target:

₹880 crore.

At:

10% PAT margin

PAT = ₹88 crore

At:

11% PAT margin

PAT = ₹96.8 crore

At:

12% PAT margin

PAT = ₹105.6 crore

So a reasonable FY27 framework is:

MODISON FY27 EARNINGS SCENARIOS			
PAT outlook under different operating conditions			
 Scenario	 Revenue (₹ Cr)	 PAT Margin (%)	 PAT (₹ Cr)
 Bear	₹800 Cr	10.0%	₹80 Cr
 Base	₹880 Cr	11.0%	₹97 Cr
 Bull	₹950 Cr	12.0%	₹114 Cr
 Note: These are illustrative scenarios based on management guidance, current run-rate and operating assumptions. Actual results may vary based on market conditions, commodity prices, demand, mix and execution.			

My current central estimate would be around:

₹95–100 crore FY27 PAT

Not ₹130 crore.

Not ₹70 crore.

Approximately ₹100 crore is the number I would use for a base-case investment mo

Why Q1 makes that estimate more credible

Q1 FY27 already delivered:

₹270.5 crore revenue

and:

₹33.8 crore PAT.

Annualising that mechanically gives:

₹135 crore PAT.

I would **not** do that.

Why?

Because Q1 contained a large inventory build and Q4 had unusually strong pricing/ effects.

But Q1 proves something very important:

Modison can now operate at economics far above the old 6–10% zone.

That is the real signal.

The June 2025 quarter was probably the bottom of the old model

Remember the progression:

Q1 FY26: ~6% operating margin

↓

Q2: ~13%

↓

Q3: ~13%

↓

Q4: ~25%

↓

Q1 FY27: ~18–19%

The cleanest interpretation is not:

“Q4 was 25%, therefore 25% is sustainable.”

Nor is it:

“Q4 had commodity gains, therefore everything goes back to 6%.”

The more reasonable interpretation is:

The old margin structure is breaking.

Modison appears to have moved into a **mid-teens operating-margin regime**, with potential upside if HV mix and vertical integration continue improving.

What could go wrong?

This is not a risk-free story.

In fact, there are five risks I'd watch very closely.

1. Commodity volatility

Silver and tungsten can move violently.

Pass-through protects the business—but not necessarily instantaneously.

Timing matters.

2. Inventory

This is probably the biggest near-term risk.

If inventory rises faster than revenue, we have a problem.

If inventory converts into revenue and cash, it's a positive.

The ₹41.7 crore Q1 inventory movement therefore deserves monitoring.

3. Working capital

FY26 saw a huge increase in inventory and receivables, accompanied by higher borrowings.

Growth in a commodity-heavy business consumes cash.

Revenue growth without cash conversion isn't enough.

4. Margin normalization

Q4's 25% margin is unlikely to be the long-term consolidated number.

A normalized 15–18% EBITDA margin is much more credible.

Investors who model 20%+ forever may eventually be disappointed.

5. Dilution

Management has discussed an FPO to fund growth.

That could accelerate expansion.

But equity capital comes with dilution.

The correct question is not:

“Is an FPO good?”

It's:

“How much incremental PAT will the new capital generate relative to the share issued?”

That calculation becomes critical once the FPO structure is known.

The moat isn't silver. It's qualification.

This is perhaps the most important conceptual change I'd make in analysing Modison.

A commodity processor is vulnerable to:

price competition.

A qualified supplier of mission-critical electrical-contact materials is vulnerable to:

execution failure.

Those are very different businesses.

Once a product has been qualified by an OEM, switching suppliers isn't necessarily frictionless.

That is particularly relevant for:

- HV contacts,
- railway applications,
- specialized alloys,
- global OEM programs.

Modison's history of technical collaboration, product development and customer-specific manufacturing supports this interpretation. The company says its products are manufactured to customer drawings/specifications and highlights its integrated manufacturing capabilities. [Modison manufacturing and research capabilities](#)

What would make me significantly more bullish?

Three things.

1. Inventory converts

If the ₹41.7 crore Q1 build becomes Q2/Q3 revenue without margin collapse, the thesis strengthens considerably.

2. EBITDA remains >16%

If Modison can maintain 16–18% EBITDA margins through normal commodity conditions, we can stop calling FY26 a “margin anomaly.”

3. Cash flow catches up

This is the ultimate test.

PAT → operating cash flow → lower leverage

is what turns a good story into a great business.

And what would break the thesis?

This combination:

- Revenue disappoints
- Inventory keeps rising
- Receivables keep rising
- EBITDA margin falls below ~12–13%

That would tell me the operating inflection isn't as durable as it currently appears.

One bad quarter wouldn't be enough.

But two or three quarters showing that pattern would force a reassessment.

The real Modison inflection point

This is why I think the company is interesting today.

Modison appears to be transitioning from:

“a commodity-sensitive electrical-contact manufacture:

toward:

“a higher-value, technology-led supplier to the electrical infrastructure ecosystem.”

The difference is enormous.

The first business deserves a cyclical multiple.

The second can deserve a structural-growth multiple.

The ingredients are already visible:

- HV mix
- 18–20% HV margin target
- Customer qualification
- 260 new products
- RDSO approval
- Exports
- Global OEM relationships
- Tungsten integration
- Switchgear components
- Data-centre/power-infrastructure tailwinds
- FY27 revenue target

= a potentially very different Modison.

But here's the uncomfortable part

The market knows some of this.

The stock has already rerated significantly.

That means the investment question has moved from:

“Will Modison grow?”

to:

“Can Modison grow fast enough to justify the valuation?”

That's a much harder question.

The business can be excellent, and the stock can still be expensive.

And that's why I wouldn't build my investment case around the ₹1365 crore FY30 target.

I'd build it around something much simpler:

Can Modison sustainably earn ~₹100 crore PAT?

If yes, the current valuation needs to be judged against that earning power.

If PAT moves toward ₹110–120 crore while the balance sheet and cash conversion remain healthy, the upside case becomes increasingly interesting.

If PAT stalls around ₹70–80 crore, the market may have gotten ahead of itself.

The final takeaway

There is a temptation to look at Modison and say:

“Silver prices drove the numbers.”

I think that misses the more interesting story.

Silver may have amplified the financial statements.

Tungsten may have created short-term volatility.

Q4 may have contained inventory/pricing benefits.

But none of those explain everything.

The deeper change appears to be:

Modison is moving up the value chain.

- It is developing harder-to-replace products.
- It is increasing its exposure to HV.
- It is adding customers and exports.
- It is developing new alloys.
- It is building a much broader product pipeline.
- It is exploring vertical integration.

And it is operating at margins that would have looked almost unbelievable compared with the June 2025 quarter.

The Q1 FY27 result is perhaps the strongest evidence yet that the FY26 transformation wasn't simply a one-quarter accident: revenue was ₹270.5 crore and PAT ₹33.8 crore with only modest sequential declines from Q4 despite normalization from the extraordinary Q4 period.

But the next chapter is different.

FY26 was about proving the model.

FY27 is about proving repeatability.

And that is why Modison is sitting at an inflection point.

Not because silver is going up.

Not because AI is booming.

Not because someone has drawn a bullish chart.

But because a company that once struggled to generate even mid-single-digit operating margins may now be approaching a much larger scale with a structurally better product mix.

If Modison can convert that potential into **₹90–110 crore of sustainable annual PA while keeping working capital under control**, the market may eventually have to start valuing it as a small commodity-sensitive manufacturer.

And that is when the story gets really interesting.

Disclosure: This is an independent analytical framework, not a recommendation to buy or sell Modison. Commodity prices, customer pricing, execution, working capital capex returns, and valuation can all materially change the outcome. Management targets are targets—not guarantees.

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